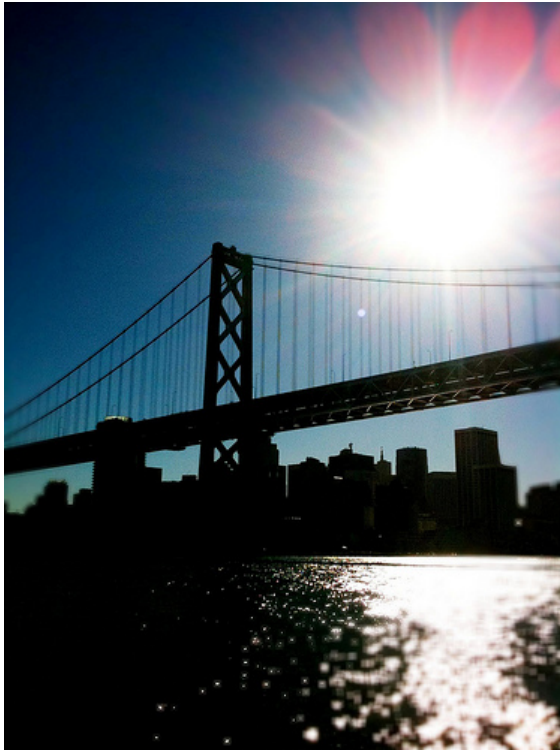


Minimalism Vs Debt: 7 Simple Strategies to Liberate Your Finances « Far Beyond The Stars

Written by Everett Bogue | Follow me on [Twitter](#).

“Too often, a vast collection of possessions ends up possessing its owner.” – [Warren Buffett](#)



The last few years were defined by credit cards, bank busts and ultimately bankruptcy for a lot of people.

The reason we got into this mess is simple: we all took too much, and no one told us we couldn't.

The world exists on checks and balances, and a check without a balance isn't a smart thing to write.

The solution to any debt problem is easily said than done, but I'll go ahead and say it: to get out of debt you have to spend less.

Easy, right? Well, not so much for

many people.

I've been dealing with a hunkload of student debt since college. Right now the balance is a little under \$15,000. When I lived my over-extended day job life, the idea of ever being able to pay this back was hard to comprehend.

Now that I apply minimalism to every action I take, digging through that debt seems like a much easier reality for me. I hope to pay it all back by the end of the year, and in order to do that I need solid strategies in place to repay the debt.

I think that if you apply minimalism, getting out of debt can be a reality for you as well.

How minimalism can help you get out of debt.

First I want to tell you the story of how I paid off all of my credit card debt (around \$2,000) last month. But I have to start with how I had that debt in the first place: in March my computer exploded — the screen just died and it was

a year out of warranty. This was a month after launching *The Art of Being Minimalist*, and while the e-book was paying for my minimalist lifestyle in New York, I wasn't quite making enough to buy out of pocket a brand new Macbook Pro.

So I had to make a hard choice, one that I hated doing, I put the computer on my Discover card — this is one of the decisions that people have to make all of the time: at the time I had to pay the rent first and figure out how to pay off the computer later.

Here's my solution for the credit card debt: to pay it off immediately all at once. After the pre-release of *Minimalist Business* I had more than enough to move to California and continue to pay for my minimalist lifestyle. So, I simply paid the \$2,000 credit card debt off. Now I don't have to worry about it anymore, because I paid it off.

This is where most people approach debt incorrectly. They let it sit there, and game credit card offers with zero-interest, swapping the balance back and forth between card providers but never really addressing the biggest issue: that they're in debt and they need to get out.

The best approach is to sacrifice your immediate desire to splurge and instead kill that debt now, so you can live a freer life in the future.

There are no good kinds of debt.

When you're living a freedom lifestyle, there are no good forms of debt. Your education, your mortgage, and especially your consumer debt is all debt you shouldn't have.

Why? Because debt weighs you down.

It's a lot harder to make good decisions in regard to your freedom if you're worried about \$15,000 in debt from your education. It's nearly impossible to make good choices if you're \$900,000 in debt on a house.

You're never going to live a location independent life if you're paying into the debt trap.

I realize this is hard to hear, we've been brought up on this sick idea of an American dream that was dreamt up by McDonald's and Walmart to keep the American population buying crap to fill their oversized homes and bodies.

You don't need anything enough that you should be willing to go into that much debt over it.

Well, enough about the problem, let's look at some solutions.

Here are 7 strategies you can use to apply simplicity in order to get out of debt.

1. Reduce overhead by adopting a minimalist lifestyle.

The first element to eliminating debt by applying minimalism is to figure out your actual cost of living and attempt to reduce the cost to under a certain threshold.

The best way that I've found to do this is to only give yourself a certain amount of money to spend every month on your life. Some people call this a budget, I call it dealing with reality. If your life only costs \$1,500 a month, and you're making \$5,000 a month, then you can put \$3,500 a month towards paying down your debt.

A few practical strategies for reducing your overhead I've talked about many times: create a 30-day wait-list for purchases larger than \$20 (other than groceries). Live with less than 100 things. Sell your crap to make extra money. Live in a smaller apartment.

If you continue to spend \$5,000 a month when you make \$5,000 a month, you'll never pay down your debt. Yes, that's very simple, and yet so many people don't get it.

You need much less than you think. Eliminate overhead to dig yourself out of debt.

2. Pay off the most emotional balances first.

I subscribe to Adam Baker's Debt Tsunami approach, as outlined in his e-book [Unautomate Your Finances](#), to paying down debts. This is why my temporary credit card debt had to be the first to go, because it was keeping me awake at night.

Baker's Debt Tsunami approach recognizes that some unpaid balances are more emotional than others. For instance, if you owe money to your family chances are that the unpaid balance is creating a lot more of a strain than how much you owe Citibank on your student loan. Pay your family back first, then move on to less emotional outstanding balances.

It doesn't matter if the \$1,000 your buddy owed you is interest-free. Pay it back first, because your buddy deserves the money back. The banks can wait, save your relationships first.

3. Don't buy a car (sell yours if you did.)

One of the funniest (funny because people are silly) mistakes that I see

people make is simple: they rack up a huge debt in college, then they graduated and immediately rush to the car dealership to put zero-down on a car they can't afford.

Cars are destructive, dirty, expensive, time-consuming, and they're also one of the easiest ways to save \$8,000+ a year. Simply don't buy one, or sell the one you have, and you'll free up a huge portion of your finances that you didn't even realize that you could have.

People don't take the entire cost of a car into account when they buy one. They simply look at how much the car payment will be a month, without taking into account the cost of insurance, gas, repairs, parking fines, etc. These all quickly stack up to an unsustainable life.

Living without a car is so simple that I've been doing it for the last 8 years: move to a place where you don't need one. Believe it or not, there are cities and towns in America where you can walk to get your groceries. Brooklyn, Portland, San Francisco, etc. I've lived in all of these places, and they're all wonderful places to live car-free.

Someday we'll live in a car-free world, and believe me, it will be a better place.

If you do need a car in these places, you can rent one for \$6-\$11 an hour with gas included by joining [Zipcar](#).

4. Establish a repayment plan.

Debt isn't going to repay itself, you need to establish a plan to pay back the debt you have.

I normally hate planning, but with money you have to establish a threshold that you're going to put towards your outstanding debts or you'll never pay back the balance.

Paying the minimum due each month isn't a plan, it's a way to keep yourself perpetually in debt.

Once you've established how much your life costs, and reduced your overhead through minimalism, you can move to the next step of dedicating large amounts of money to paying off your debts.

I suggest dedicating anywhere from \$500-\$2000 a month towards paying down debts until they're completely eliminated — this is the strategy I'm using at the moment and it's going a long way towards getting me to the point of living debt free by the end of the year.

As we discussed above, pay the minimum on every account except for the

one that's causing you the most emotional strife. Throw the large sums of money at one outstanding debt until you've completely paid it off, and then start on the next. This way you'll see real change that you wouldn't if you evenly distributed money across all debts at once.

5. Stop using credit cards.

Credit cards can be necessary in tough situations (like when your Macbook explodes), but in most others you shouldn't need one.

Credit cards turn money into an abstract idea. It's not real money, it's just the credit card. The reality of the situation is that using credit cards is spending real money that you don't have already.

One of the best ways that I've found to opt-out of monetary abstraction is to stop using credit cards entirely. Cut them up and never use them again. Take physical cash out of the bank and use it to make purchases until you're out of debt.

It's much more difficult to drop \$500 on something you don't need when you're paying with a big wad of cash.

6. Establish additional revenue streams.

One of the best ways to pay down debt, believe it or not, is to make more money. The best way to do this, in my experience, is to establish new (and ideally passive) revenue streams.

Create remarkable products around work that you're passionate about, take on more clients, build resources that help people, etc.

Many people work one job, and have one mostly steady income source. The problem with this is that you don't have the opportunity in most cases to work harder in order to make more money. You can't leverage your skills in a day job to create passive income either — all of the extra money you make goes to your company and not your own paycheck.

I recently started to realize that money was just a symbol for the value that you contribute to the world. When you make change and help people, more money will come, if you make the decision to ask for it.

When you make more money, you can pay down your debts faster.

7. Buying things won't make you happy.

The final element to this whole equation is realizing that buying more things will never make you happy.

The televisions taught us to rush to the mall every time a new gadget comes out. Millions of people wander around clothing stores hoping that buying one more pair of shoes will cure all of their problems. The reality of the situation is that buying more junk just makes us sadder after a temporary high that comes from spending money.

When you opt-out of the endless cycle of consumerism, you free yourself to pay down your debts and eventually live a minimalist freedom lifestyle.

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Maren Kate of Escaping the 9-5 interviewed me [about minimalist business strategies for success](#).

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